Public Competition Assessment

27 February 2009

Baiada Poultry Pty Ltd - proposed acquisition of Bartter Enterprises Pty Ltd

Introduction

1. On 11 February 2009, the Australian Competition and Consumer Commission (**ACCC**) announced its decision to oppose the proposed acquisition of Bartter Enterprises Pty Ltd by Baiada Poultry Pty Ltd (**proposed acquisition)**. The ACCC was of the view that the proposed acquisition would be likely to have the effect of substantially lessening competition in the markets for the wholesale supply of processed chicken, in contravention of section 50 of the *Trade Practices Act 1974* (the **Act**).

2. The ACCC formed its view on the basis of the information provided by the merger parties and information arising from its market inquiries. This Public Competition Assessment outlines the basis on which the ACCC has reached its decision on the proposed acquisition, subject to confidentiality considerations.

Public Competition Assessment

3. To provide an enhanced level of transparency and procedural fairness in its decision making process, the ACCC issues a Public Competition Assessment for all transaction proposals where:
   - a merger is opposed;
   - a merger is subject to enforceable undertakings;
   - the merger parties seek such disclosure; or
   - a merger is not opposed but raises important issues that the ACCC considers should be made public.

4. This Public Competition Assessment has been issued because Baiada Poultry Pty Ltd's proposed acquisition of Bartter Enterprises Pty Ltd was opposed by the ACCC.

5. By issuing Public Competition Assessments, the ACCC aims to provide the public with a better understanding of the ACCC's analysis of various markets and the associated merger and competition issues. It also alerts the public to the circumstances where the ACCC's assessment of the competition conditions in particular markets is changing, or likely to change.

6. Each Public Competition Assessment is specific to the particular transaction under review by the ACCC. While some transaction proposals may involve the same or related markets, it should not be assumed that the analysis and decision outlined in one Public Competition Assessment will be conclusive of the ACCC's view in respect of other transaction proposals, as each matter will be considered on its own merits.

7. Many of the ACCC's decisions will involve consideration of both non-confidential and confidential information provided by the merger parties and market participants. In order to maintain the confidentiality of particular information, Public Competition Assessments do not contain any confidential information or its sources. While the ACCC aims to provide an appropriately detailed explanation of the basis for the ACCC decision, where this is not possible maintaining confidentiality will be the ACCC's paramount concern, and accordingly a Public Competition Assessment may not definitively explain all issues and the ACCC's analysis of such issues.

The parties

The acquirer: Baiada Poultry Pty Ltd ("Baiada")

8. Baiada is a privately owned Australian company which supplies poultry products throughout most states of Australia. It is currently the third largest processor of chicken meat in Australia.

9. Baiada is a vertically integrated producer and processor of chicken products. Its business operations include broiler[1] and breeder farms, hatcheries, processing plants, feed milling and protein recovery. It primarily sells various types of processed chicken meat. Baiada also supplies fertilised eggs, day old chicks and live grown birds to some regional processors

10. Baiada has a one-third ownership interest in Hi-Chick Breeding Company Pty Ltd ("Hi-Chick"), a company which specialises in the importation of the Cobb breed of bird for multiplication and supply to its owners. Red Lea and Cordina, which are two processors based in New South Wales, also hold ownership interests in Hi-Chick.

11. Baiada's processing plants are located in Sydney, Tamworth, Adelaide and Laverton (Victoria).

The target: Bartter Enterprises Pty Ltd ("Bartter")

12. Bartter is a privately owned company and is the second largest processor of chicken meat in Australia. Bartter is also a vertically integrated producer and processor of chicken products. Bartter owns six processing facilities in Australia with one plant located in each of Victoria and Western Australia, and two plants located in each of Queensland and New South Wales. Bartter owns breeding

[1] *Broiler* is the industry term for chicken grown for the purpose of chicken meat consumption

farms for parent stock, hatcheries for day old chicks, feed mills and distribution centres throughout Australia.

13. Bartter's primary activity is the sale of various types of processed chicken meat under the 'Steggles' brand.

Other industry participants

*Inghams Enterprises ("**Inghams**")*

14. Inghams is the largest processor of chicken meat in Australia and operates processing facilities in all states of Australia.

15. Inghams is also a vertically integrated producer and processor of chicken products. It supplies its own breeding stock, hatcheries, and owns feed mills. Inghams operates 10 primary processing plants and six further processing plants.[2]

Other processors

16. There are also a number of smaller regional processors, who each have one processing facility. Each regional processor produces between 1-6% share of chicken meat processed nationally.

17. Most of these regional processors are not vertically integrated. The exceptions are:

- Golden Cockerel, located in Queensland, which operates its own breeding farms and hatcheries; and
- Hazeldene, located in Victoria, which also has in-house breeding facilities and hatcheries.

The proposed transaction

18. Baiada proposed to acquire all of the issued share capital in Bartter.

Timing

19. The following table outlines the timeline of key events in this matter.

Date	Event
12-Nov-2008	ACCC commenced review under the Merger Review Process Guidelines. Market inquiries commenced.
03-Dec-2008	Closing date for submissions from interested parties.
17-Dec-2008	ACCC published a Statement of Issues outlining preliminary competition concerns.
17-Dec-2008	Former proposed date for announcement of ACCC's findings of 14 January 2009, amended to allow for further market inquiries in response to the Statement of Issues.
27-Jan-2009	Closing date for submissions relating to Statement of Issues.

[2] Further processing plants are used to prepare cooked and semi-cooked chicken products such as nuggets and patties.

11-Feb-2009	ACCC announced it would oppose the proposed acquisition.

Areas of overlap

20. The primary areas of overlap between the operations of Bartter and Baiada are:

- The acquisition of growing services in growing regions in Victoria and New South Wales; and
- The operation of processing facilities and production and supply of inputs such as fertilised eggs, day old chicks, and feed, for the purpose of producing processed chicken meat.[3]

Customer segments

21. The buyers of processed chicken meat can be classified into the following broad categories:

- supermarkets;
- QSRs (Quick Service Restaurants);
- Food Service Industry;
- wholesale Distributors and de-boning Rooms; and
- butchers, delicatessens and specialty poultry retail shops.

22. Supermarkets purchase the largest volumes of processed chicken meat. These purchases mainly consist of various tray-packed products, barbeque rotisserie chickens, and bulk packaged products sold through the supermarkets' delicatessens.

23. Quick Service Restaurants (QSRs) are also known as fast food restaurants and purchase approximately 10-15% of all processed chicken meat in Australia. This segment buys large volumes of fresh bone-in and fillet product, and further processed chicken meat.

24. The remaining customer segments also account for a large proportion of processed chicken meat consumption, but are relatively fragmented. These segments are characterised by a large number of small businesses which operate on a state or regional level. The volumes purchased by these customers are much lower than the QSRs and supermarkets. In some circumstances the customers (mainly de-boning plants and wholesale distributors) purchase whole dressed birds and process the product further for re-sale to others customers.

Market inquiries

25. The ACCC conducted market inquiries with a range of industry participants, including competing processors, growers, customers, independent contract providers of inputs, industry bodies, other regulatory agencies and other interested parties. Submissions were sought in relation to the substantive competition issues.

[3] This includes various forms of fresh, semi-cooked and cooked ("further processed"), and frozen chicken.

Statement of Issues

26. The ACCC published a Statement of Issues on 17 December 2008, identifying a number of competition issues arising from the proposed acquisition. The Statement of Issues identified various markets for the wholesale supply of processed chicken meat, and the acquisition of grower services in certain geographic regions. The ACCC sought further comments in relation to those issues.

27. The Statement of Issues is available on the ACCC website (www.accc.gov.au) at the informal merger clearances register.

Market definition

28. The ACCC considered two main categories of markets relevant to the competition analysis:

- regional markets for the acquisition of broiler growing services from growers located in the following regions:
  i. Geelong/west Victoria
  ii. the Hunter Valley, New South Wales
  iii. the Central Coast, New South Wales; and
- regional markets for the wholesale supply of processed chicken meat.

Regional markets for the acquisition of broiler growing services from growers

Product dimension

29. The broiler growing stage takes place either in farms owned by the processors (company-owned farms), or farms owned by broiler farmers who provide broiler grower services. This commences after the processors deliver batches of day-old chicks to the farms. Broiler farms comprise a series of purpose-built sheds.

30. Baiada and Bartter both primarily acquire services from broiler growers on a contract basis.[4]

Geographic dimension

31. Typically, broiler growing services are supplied in regions consisting of farms that are broadly clustered together, and in locations that are proximate to chicken processing facilities.

32. The majority of processors' growers are located within 1- 1.5 hours' drive from the processing facilities they supply. This equates to approximately 120 kilometres by

[4] Bartter does not have any company-owned farms. Although Baiada does have company-owned farms, these farms would only count for a small proportion of its overall production inputs.

road. Market inquiries indicated that it is ideal for grower regions to be located proximate to the processing facilities:

- to limit the costs of transporting day-old chicks from the hatcheries to the broiler farms, chicken feed from the feed mills to the broiler farms, and transporting the mature broilers from the farms to the processing facilities; and
- to facilitate the management of logistics/turnaround times for picking up the broilers and processing them at the relevant processing plant.

33. The ACCC found that growers whose farms are located closest to Baiada and Bartter’s processing facilities and within approximately 1-1.5 hours travel time by road, were likely to be the subject of close competition between the merger parties. Market inquiries revealed that although processors can and do acquire services from growers located at greater distances, such activity represented no more than substitution at the margins, rather than in the main.[5]

34. Accordingly, the ACCC considered that the geographic dimension of the relevant markets for the acquisition of broiler growing services consisted of processing plants located within 1-1.5 hours travel time by road or within 120 kilometres of the grower regions.

Competition Analysis

Market for the acquisition of broiler growing services in the Geelong/west Victoria growing region

35. Growers in this region predominantly supply growing services to three processors – Baiada, Bartter, and La Ionica.

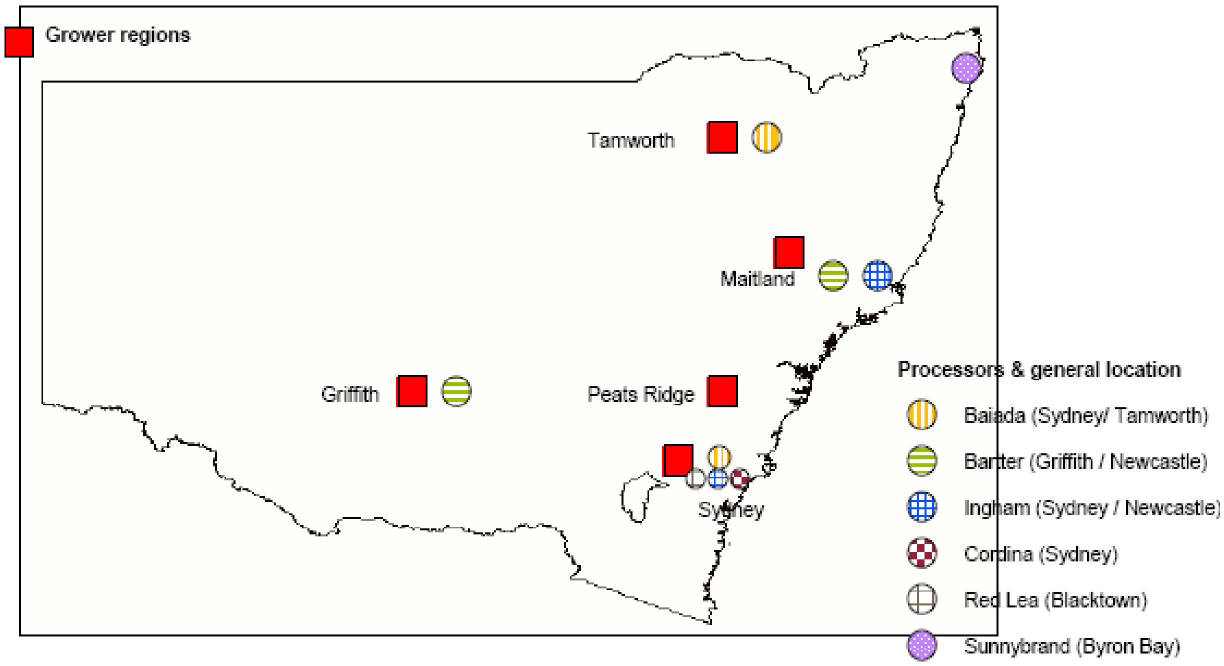
36. The Statement of Issues raised a concern that the proposed acquisition would result in a substantial lessening of competition in the market for the acquisition of grower services in the Geelong/west Victoria region.

37. However, the ACCC received confidential information which has led it to conclude that the proposed acquisition would not be likely to result in a substantial lessening of competition in the market for the acquisition of grower services in the Geelong/west Victoria growing region.

Markets for the acquisition of broiler grower services within New South Wales

38. There are five main broiler growing regions within New South Wales as illustrated below.

[5] There are instances where other processors do acquire services from growers whose farms are located in places that are outside of, and sometimes distant from, the main clusters. Market inquiries revealed that such instances are presently in the minority. However, the ACCC considers this is likely to increase in future as a result of urban encroachment on growing regions, particularly for those processors located in the Sydney Basin.



39. The ACCC identified two markets within New South Wales as being of primary relevance to the proposed acquisition. These were the markets for the acquisition of grower services in the Central Coast growing region, and the Hunter Valley growing region.

40. The Statement of Issues raised a concern that Baiada, Cordina and Red Lea might not compete vigorously against one another if the proposed acquisition were to proceed, because of their joint ownership of Hi-Chick. However, further market inquiries and examination of the Hi-Chick joint venture did not indicate that these parties would not compete vigorously in the markets to acquire grower services in the relevant regions in New South Wales.

Central Coast

41. This region comprises the cluster of broiler farms located around the Peats Ridge area of New South Wales. There are no processors located within the Central Coast region.

42. The ACCC found that a number of processors competed in the market for the acquisition of broiler growing services from growers in the Central Coast growing region, including Baiada at Pendle Hill, Bartter at Beresfield, Red Lea at Blacktown, Cordina at Girraween, and Inghams at Hoxton Park (Sydney area) and Cardiff (near Newcastle).

43. The major acquirers of growing services in this region are Ingham and Cordina with Sydney-based processors Baiada and Red Lea also competing for growing services in this region. Bartter does not currently source growing services from this region.

44. While the ACCC considered that the proposed acquisition would result in the removal of Bartter as a potential competitor for the acquisition of broiler growing services from growers in the Central Coast region, this was unlikely to result in a

substantial lessening of competition due to the continuing presence of other competitors.

45. The ACCC's market inquiries indicated that urban encroachment around the Sydney Basin growing region is likely to increase over time, and that as a result, Red Lea and Cordina are likely to continue to seek to acquire grower services from the Central Coast. The ACCC's inquiries revealed that the Central Coast region was more likely to be targeted by these processors than the Hunter Valley or Southern New South Wales (Goulburn) regions due to costs involved with acquiring services at greater distance.

46. Therefore, the ACCC concluded that the proposed acquisition would not be likely to result in a substantial lessening of competition in this market.

Hunter Valley

47. The Statement of Issues raised the possibility that the proposed acquisition could result in a significant reduction in the number of processors positioned to acquire the services of growers in the Hunter Valley. Baiada is one of the only three processors currently acquiring grower services from growers in this area.

48. Bartter, which has a processing plant at Beresfield near Newcastle, is the major acquirer of growing services from this area with 37 broiler farms contracted. Baiada and Red Lea have arrangements with 10 and 5 farms respectively, and the broilers are processed at their plants in the Sydney area. Ingham, which has a processing plant at Cardiff in South Newcastle does not have any growers in the Hunter region but enquiries indicated it would be geographically well positioned to acquire services from growers in this region.

49. Whilst Baiada and Bartter are presently the two largest acquirers of grower services in this region, the ACCC's inquiries indicated that other processors would be similarly placed to compete against the merged entity if the proposed acquisition were to proceed.

50. Therefore, the ACCC concluded that the proposed acquisition was not likely to result in a substantial lessening of competition in the market for the acquisition of broiler grower services from contracted growers in the Hunter Valley growing region.

Markets for the wholesale supply of processed chicken meat

Product dimension

51. Chicken meat is generally supplied after undergoing varying degrees of processing, according to customers' preferences. In general, processed chicken falls within broad categories of fresh and frozen chicken. For the fresh chicken category, there are sub-categories according to whether the customer requires chicken with bones-in or de-boned, and pre-cooked products.[6] The ACCC's inquiries revealed that these products are produced by most processors in the industry.

[6] Fresh chicken is the raw material for cooked and pre-cooked chicken.

52. The QSRs' requirements are particularly specific. QSRs require:

- the supply of chicken products including portions and whole birds at very exact *weights* to comply with the settings of the QSRs' in-store ovens and cookers[7];
- the supply of chicken products including portions and whole birds at very exact *sizes, shapes, and textures*, not only to fit the configuration of the ovens and cookers, but to fit the size of other ingredients, such as buns for burgers, and for consistency from a customer perspective;
- daily deliveries of high volumes of fresh chicken (including pre-cooked chicken products such as nuggets); and
- large volumes of further processed chicken.[8]

53. Market inquiries indicated that in contrast to the activities involved in supplying other customers, the QSRs' specifications require processors to manage their livestock inputs differently, and procure specific equipment to supply these products at high volumes. However, the ACCC found that the activities processors undertake to produce chicken meat for QSRs and most other customers are likely to be similar. It was found that processors can generally switch between supplying QSRs' and other customers, and accordingly, there is likely to be a significant degree of supply-side substitution.

54. Therefore, the ACCC concluded that the relevant product dimension is the production of processed chicken meat, both fresh and frozen.

55. That said, the ACCC found that the specific requirements of QSRs present particular issues for regional processors who would need to expand to exert an effective competitive constraint on the merged entity. This issue is examined in the competition analysis for this market.

Geographic dimension

56. The ACCC's inquiries revealed that processors endeavour to deliver chicken meat to a customer's distribution centre or directly to its stores within one day of the chicken being processed at the plant. This is so that the shelf life of the product can be maximised. Although such shelf life targets can theoretically be met by processors with plants up to 1000km from a customer, most processors do not transport product for more than 12 hours due to cost and logistical reasons. Furthermore, the ACCC found that QSRs, who require daily deliveries of chicken due to high turnover and minimal storage capabilities, have a greater need for processors to be located closer to the stores that they supply.

57. These market characteristics are reflected by the interstate sales volumes. The ACCC's investigation found that most processors sell at least 60% or more of their

[7] The QSRs' weight specifications differ from one another, but in general, they are on the 'small side' of the distribution of the various weights of a batch of broilers.

[8] The ACCC notes that not all QSRs acquire further processed chicken.

output in the state in which their processing plants are located. For the most part, the remainder of the processors' sales take place in adjoining states. For instance:

- Chicken processed in New South Wales and is not sold in New South Wales is sold mainly to Queensland and to a lesser extent Victoria;
- Queensland processors sell a small amount of chicken in New South Wales;
- In Victoria, chicken which is not consumed within the state (relatively smaller volumes) is sold in New South Wales, South Australia and Tasmania;
- In Western Australia and Tasmania, the ACCC observed that due to the smaller volumes and geographic isolation all chicken processed within those states is consumed within those states;

58. The ACCC concluded that the regional markets for the supply of processed chicken extended beyond state boundaries to adjoining states.[9]. However, the ACCC did not consider the geographic dimension of this market to be determinative in the competition analysis of the proposed acquisition.

Competition analysis – market for the supply of processed chicken meat

Market concentration

59. The majority of processed chicken is supplied by Ingham, Bartter, and Baiada, which operate processing plants in at least three states in Australia; and 8 smaller, or 'regional' processors which each have one processing plant.

60. The three large processors are the predominant suppliers in all customer segments, but particularly in the QSR segment which is heavily reliant on daily supplies of large volumes of processed chicken. The ACCC is aware there are four regional processors who supply small volumes of processed chicken to QSRs. However, market inquiries indicated that the supply of these volumes has not resulted in any noticeable impact on the prices paid by the QSRs in question.

61. The estimated production capacities of the processors are shown in the table below.

[9] For example - Queensland and New South Wales, New South Wales and Victoria, Victoria and South Australia, but not Queensland and Victoria, or New South Wales and South Australia.

Processors' weekly production[10]

Processor	*Locations t*	*Processed birds 000s**	*% share*
Ingham	NSW x 2, QLD, Vic, SA, WA	2375	28
Bartter	NSW x 3, QLD x 2, Vic, WA	1640	19
Baiada	NSW x 2, Vic, SA	1575	19
Merged entity		3215	*38*
Golden Cockerel	QLD	570	7
La Ionica	Vic	500	6
Cordina & Summertime	NSW	390	5
Hazeldene	VIC	380	5
Red Lea	NSW	380	5
Sunnybrand	Nthn NSW	330	4
Nerang Park	QLD	150	2
Gourmet Poultry	SA	140	2

Potential for competitive harm

62. Market inquiries revealed concerns that the merged entity would be able to raise prices for the wholesale supply of processed chicken to many customers, particularly those who purchase large volumes across multiple states of Australia, given that only Inghams, Baiada, and Bartter currently supply large volumes across multiple states. As indicated in the Statement of Issues, the ACCC examined the competition to supply these customers as an area of primary concern.

63. Information provided in response to the ACCC’s Statement of Issues indicated there are different characteristics for the supply of supermarkets compared to the supply of QSRs.

64. By contrast to the QSRs’ requirements, as outlined in paragraph 54:

- supermarkets buy somewhat standardised product and allow degrees of tolerance for differences in the specifications of the delivered product, beyond the primary requirements for a certain cut and quality of chicken;[11]
- the main piece of machinery that is required to supply a supermarket is a tray-packing machine which has a capital cost of approximately $400,000 and can be used to supply several customers; and
- whereas QSRs order product on a daily basis and aim to use and sell all soon after delivery, supermarkets make their products available for a longer period on their shelves which can be purchased over a number of days by the consumer. This reduces the need for processors to be able to deliver very large volumes of product on a daily basis.

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[10] These figures were derived from a number of sources. The ACCC considers these figures to be the best estimates available for the purposes of this assessment. The output of processing plants in Western Australia and Far North Queensland is excluded from this table.

[11] Supermarkets and many other buyers of processed chicken pay for the product on a per kilo basis, whereas QSRs pay per piece of chicken. Variances in finished product supplied to supermarkets can therefore be addressed though the price of the delivered product.

65. As supermarkets demand a largely standardised product, most processors are in a position to supply these customers, albeit at varying volumes. Additionally, whilst supermarkets buy large aggregate volumes, and purchase the vast majority from the three major processors, market inquiries found that it is common for supermarkets to disaggregate their sources of supply amongst multiple processors, including from regional processors.

Implications of QSR requirements for the competition analysis

66. The main implication of the QSRs' requirements is that a processor's throughput of processed birds needs to be substantially larger than the quantity demanded by a QSR customer, because:

- only 30% of the birds grown in a typical batch grow to a size which is suitable for the QSRs' various specifications;
- a processor must produce enough birds which fall inside *and* outside of these weight ranges to sell to other customers, to facilitate the processor's competitiveness for both types of customers;
- profitable disposal of the off-cuts of chicken that are not used in the fillet-based products (known as the trim) is also important for a processor's overall competitiveness.

67. Market inquiries revealed that it is possible for a regional processor to profitably supply QSRs, but only to a limited extent. As noted earlier, there are regional processors who supply small volumes to QSRs. However, market inquiries have indicated that the supply of chicken by these processors has not had any impact on prices or other supply terms offered by the major processors in any region.

68. Furthermore, market inquiries found that it is necessary for a processor to supply a large number of QSR stores (at least 40-50) to enable the processor to recover the costs of investment in the equipment that produces high volumes of processed chicken to QSRs. In order to achieve these levels of production, regional processors would need to expand substantially. In particular, processors must process:

- a large number of chickens to derive the one in three chickens that will be suitable for supply to a QSR; and
- sufficient volumes of suitably-sized chickens to exert an effective competitive constraint.

Barriers to entry

69. The expansion of processing output can happen in the following ways:

- Installation of additional plant and equipment at existing processing plants;
- Processing plants operated at double shifts;
- Construction of a new plant at a greenfields site;

- Acquisition of a competitor or brown fields site.

70. The ACCC's investigation revealed that there are high barriers to new entry for the wholesale supply of processed chicken. Processing plants need to be located in areas where labour, water and power supply, and significant amounts of space for the actual processing facilities and distribution infrastructure, are readily available. Processing facilities should ideally be located proximate to a grower region to minimise transport costs and to facilitate the logistics of transporting birds to and from the processing plant within scheduled slaughter periods and staff shifts.

71. The ACCC's inquiries indicated that:

    - the estimated cost of a new processing facility is likely to be at least $40 million for a facility that processes 500,000 birds per week, to $100 million for a facility that produces over 1 million birds per week.

    - there are significant regulatory approvals required to set up a processing facility, (including meeting Environment Protection Authority and local council requirements);
    - local government planning restrictions and processes limit the number of new broiler farms that can be established to provide the necessary inputs for processing. Market inquiries indicated the lead time on new facility approvals to be approximately two years but that it can be longer than this.

Availability of substitutes

72. The degree of competitive constraint provided by substitutes or rivals to the merged firm also depends on the ability to profitably increase production in the event that the merged firm attempts to exercise market power.

73. As noted above, the aggregate output levels of each regional processor is much smaller than those of Bartter, Baiada, and Inghams. Therefore, the ACCC's inquiries examined the ability for these processors to expand their production to an extent that would be likely to exert an effective competitive constraint on the merged entity. For some processors, this would require the establishment of additional processing capital, but for all processors, additional broiler growing capacity would be necessary.

74. In order for a regional processor to effectively constrain the merged firm, it would have to significantly increase its production of processed chicken. A key barrier to this expansion is access to growing capacity. The ACCC's inquiries revealed that growers typically enter contracts with processors for periods of around five years. This limits the ability for processors to expand growing capacity rapidly by enticing growers to switch processors.

75. Market inquiries indicated that the following are the main ways that a processor can increased access to growing capacity:

- ‘borrow’ or inherit growers from another processor who has or is about to lose a customer contract, or trade with other processors for live and processed broilers;
- re-allocate inputs from the supply of one customer segment to another;
- arrange for growers to increase the shedding on their existing farms; or
- engage new growers and farms.

Borrow growers or trade in broilers

76. Day to day imbalances occur at the processor level between the availability of and demand for processed broilers. These imbalances result in regular trading between processors of live or processed broilers, where processors with a surplus of broilers supplying those with a shortage.

77. The ACCC is also aware of a number of instances where processors have ‘swapped’ growers or bought processed birds from each other in response to shortages, predominantly when one processor has lost a supermarket supply contract to the processor that subsequently buys its birds or borrows its growers. Market inquiries have suggested that the ‘losing’ supplier seeks to avoid incurring growing fees, required by contract to be paid even when no birds are being grown, by lending its growers to the ‘winning’ processor. In other circumstances, the losing supplier might simply sell live birds to the winning processor.

78. However, the ACCC’s inquiries indicated that this trade is not of a level or predictability that any processor could entertain bidding for new business based on such sources of broilers. The ACCC’s inquiries indicated it would be unrealistic to assume that a small processor could bid to take business from a larger processor on the basis that the additional growing capacity it required for the new business would be automatically obtained from excess growing capacity arising on the part of the larger processor. Therefore, the ACCC did not consider this practice to form a reliable basis for assuming that regional processors could respond to price increases by the merged entity.

79. .Moreover, the geographic locations of a processor that has won or lost business can determine the effectiveness of borrowing growers or buying birds. For instance, the ‘losing’ processors’ growers may not be located near the ‘winning’ processor. Moreover, a reliance on grower ‘swaps’ or purchasing birds as a means of obtaining capacity to compete to supply QSRs can be problematic where only a limited portion by size of the bird flock is required for that market.

Re-allocate broilers between customer segments

80. The ACCC examined submissions that a processor could re-allocate broiler chickens to supply one customer segment, such as QSRs, instead of another segment. The ACCC found that while this may in some circumstances be possible, it is simply enhancing competition in one customer segment at the expense of competition in another customer segment.

Increase growing capacity of broiler farms

81. Market inquiries with growers and processors revealed that existing growers' farms are at full capacity in Victoria and New South Wales. Therefore, increased broiler grow-out will likely require new sheds to be constructed in these states.

82. The ACCC's inquiries found that there are substantial constraints on the development and expansion of broiler farms in the Sydney and Central Coast regions. Even where new farms are permitted they can take up to two years for development to occur. Farm development in New South Wales was found to be somewhat less difficult in the more rural locations such as Goulburn, and Tamworth, and to a lesser extent the Hunter Valley, but these locations involve higher transport costs for the regional processors in the Sydney basin.

83. The regions where increased growing capacity (new farms or more sheds on existing farms) is most likely to be possible are in Queensland, South Australia, the region west of Melbourne, and the Nagambie region in Victoria which is Hazeldene's primary source of grower services.[12]

84. However, the ACCC's investigation indicated that the timeframes for obtaining regulatory approvals for farm development are often lengthy and can involve considerable expense. Evidence from market participants indicated that the construction of significant amounts of additional shedding often involves lead times of 2-3 years, assuming that suitable land can be acquired.

Baiada as a supplier of inputs to regional processors

85. Market inquiries revealed that Baiada is a regular supplier of inputs such as fertilised eggs, day old chicks, and hatchery services to some of the smaller processors. The ACCC was concerned that these arrangements were not conducive to expansion or strong independent competition from the regional processors post-acquisition, and that these processors would require substantial lead times to self-supply some of these inputs.

Competitive response from Inghams

86. The proposed acquisition would have resulted in the merged entity having larger output than Inghams in the eastern mainland states of Australia. The ACCC examined the ability and incentive for Inghams to constrain the merged entity, for instance through output or price-based competition. However, the ACCC's inquiries indicated that Inghams was unlikely to respond in this manner, and therefore would be unlikely to competitively constrain the merged entity.

Countervailing power - ability for Quick Service Restaurants to sponsor expansion

87. The ACCC considered that it is theoretically possible for QSRs to facilitate the expansion of a regional processor by committing to purchase volumes of processed

[12] Hazeldene is currently undergoing an expansionary phase which is estimated to result in the production of approximately 500,000 birds per week by the end of 2010.

chicken from the supplier for a period of time. However, the ACCC's inquiries indicated that it is unlikely that QSRs could sponsor a processor's expansion to a significant extent, mainly because of these customers' need to protect the constancy of their daily delivery and large volume requirements.

88. Therefore, the ACCC concluded that any form of sponsored expansion would be likely to be gradual and hence unlikely to result in a significant competitive constraint upon the merged entity.

Conclusion

89. The ACCC concluded that proposed acquisition would be likely to result in a substantial lessening of competition in markets for the wholesale supply of processed chicken.

90. In forming this conclusion, the ACCC had regard to fact that the merger parties are two of the three main suppliers of processed chicken in Australia, particularly for large volume customers. In particular, QSRs are heavily reliant upon the three main processors, Bartter, Baiada, and Inghams, for the vast majority of supply.

91. Although there are several other processors in the industry, these are currently unable to supply large volumes of processed chicken to QSRs, and face high barriers to expansion. There are also high barriers to entry for new suppliers.

92. Furthermore, market inquiries revealed that QSRs have little to no countervailing power by way of sponsoring the entry or expansion of a processor to compete against the merged entity.

93. As a result of these factors, the QSRs in particular would be unlikely to be able to switch suppliers to avoid a significant price increase post-acquisition.

94. Therefore, the ACCC formed the view that the proposed acquisition of Bartter Enterprises Pty Ltd by Baiada Poultry Pty Ltd would be likely to result in a substantial lessening of competition in the market for the wholesale supply of processed chicken in contravention of section 50 of the Act.